

PERFORMANCE MANAGEMENT SYSTEM

a. The purpose of the Performance Management System is

- To capture the Key Result Areas (KRA) and timelines mutually agreed between the employee and his / her manager.
- To provide a platform for periodically measuring the Performance of the employee against agreed KRAs, metric and timelines
- To provide a platform for assessing the potential of the employee for growth in the organization and assess the development needs.
- To use the performance management system inputs for salary revisions and promotions, career, and succession planning and for talent development.
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b. Periodicity

The annual performance review process takes place once in a year.

c. Eligibility

For the annual performance review, employee should complete at least 6 working months with the organization.

d. Process

1. During the Annual Performance review, appraisal forms are distributed to the eligible employees and they are asked to do a self-assessment and submit the forms to their Reporting Managers.
2. The Reporting Manager will then have a one on one discussion with the employee in the presence of HR and a final discussion with the BU Head if required, before agreeing on the final performance rating.
3. Based on the performance rating of the individual and overall performance of the Company, any revisions to the compensation, benefits, roles and responsibilities, etc. would be communicated to the employees and the KRAs for the following year would be defined.
4. It is the responsibility of the employee and the Reporting Manager to ensure that the KRAs are agreed upon in writing within a week after reviewing it. KRAs can be changed periodically, if necessary.
5. If the employee has not performed well, he will be put on a performance improvement plan.

PERFORMANCE IMPROVEMENT PLAN

Objective:

A performance improvement plan (PIP) is designed to assist and encourage all employees to achieve and maintain satisfactory standards of performance. The aim is to ensure consistent and fair treatment for all and to assist an employee who is considered to be experiencing difficulties in performing the duties for which s/he was appointed. It is designed to provide Managers and employees with a framework to improve performance in the workplace.

Process:

Step 1: Document Performance Issues

The first step in the PIP process is for the supervisor to document the areas of the employee's performance that need improvement.

- a. The main areas of performance issues
- b. Required outcome of the PIP
- c. Strategies how the employee is going to meet the required outcomes
- d. Support, describing what support the Manager is going to provide to the employee to meet the required outcomes
- e. Responsibilities of the employee, his /her Manager and any other relevant parties
- f. Consequences, if the employee meets or doesn't meet the required outcomes until the final review

Step 2: Discussion with the Employee

During this meeting, the supervisor must clearly lay out the areas for improvement and plan of action which may be adjusted based on employee's feedback in the meeting. Making the process collaborative can help in identifying areas of confusion or misunderstanding on the employee's part and can encourage ownership of the issue by the employee. The action plan should include specific and measurable objectives that are accurate, relevant and time-bound. After changes to the plan are made, the supervisor and the employee should sign the PIP form.

Step 3: Follow Up

The employee and supervisor should establish regular follow-up meetings (weekly, biweekly or monthly), which can be outlined in the PIP discussion. These meetings should discuss and document progress towards the objective. Employee will be provided the opportunity in follow-up meetings to ask questions and seek guidance or clarification on performance expectations. The supervisor should ensure that any potential roadblocks are discussed, and that the employee has been provided the necessary tools.

Step 4: PIP Conclusion

If an employee is unable to improve or refuses to commit to the PIP, or if his or her performance

worsens, then the employer should close the PIP and consider a possible demotion or terminate employment based on the specific circumstances.

When the employee does show some improvement but is unable to achieve some or all the established action plan objectives within the PIP timeline, the employer may agree to extend a PIP for a few more weeks or months.

When the employee has responded positively by meeting the objectives, APAR will formally close the PIP and allow the employee to continue employment. This may occur prior to the deadline outlined in the PIP document. This should be a positive occasion for the employee, but the manager must be sure that the employee understands that continued good performance is expected.

Note: An employee can be put under PIP only once in his employment tenure.